

Company: NovaTech Solutions Pvt. Ltd.

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Executive Summary:

Q3 2025 was a pivotal quarter for NovaTech Solutions, marked by moderate revenue growth, operational restructuring, and the initiation of several strategic programs. Revenue rose by 6.2% quarter-over-quarter, driven by increased adoption of the NovaEdge platform in mid-market segments. However, customer churn increased slightly due to onboarding inefficiencies and delayed support responses. The leadership team launched a cross-functional task force to address delivery bottlenecks and improve client retention. Additionally, the company began exploring expansion opportunities in Southeast Asia and initiated a comprehensive audit of vendor contracts and compliance frameworks.

Paragraph 1: Financial Performance

NovaTech reported a total revenue of ₹84.3 Cr in Q3 2025, up from ₹79.4 Cr in Q2. Gross margin remained stable at 58.7%, while operating expenses increased by 9.1%, primarily due to strategic hiring in the R&D and customer success teams. Net profit declined slightly to ₹12.6 Cr, a 3.4% drop from the previous quarter, attributed to increased infrastructure costs and marketing investments.

Key Highlights:

- Revenue: ₹84.3 Cr (+6.2% QoQ)
- Gross Margin: 58.7% (flat)

- Operating Expenses: ₹36.2 Cr (+9.1% QoQ)
- Net Profit: ₹12.6 Cr (-3.4% QoQ)
- Cash Reserves: ₹41.8 Cr (↑ from ₹39.2 Cr)

Paragraph 2: Product & Engineering

The engineering team successfully released version 2.3 of the NovaEdge platform, introducing enhanced analytics, multi-tenant support, and improved API integrations. The release addressed 87% of the backlog issues from Q2 and received positive feedback from early adopters. The team also began migrating legacy clients to the new architecture, with full rollout expected by Q1 2026.

In parallel, the AI research team initiated prototyping of an anomaly detection engine tailored for enterprise clients in the BFSI sector. This initiative is part of the broader “NovaAI” roadmap aimed at embedding intelligent automation across the product suite.

Key Initiatives:

- NovaEdge v2.3 released with major feature upgrades
- Legacy client migration underway (ETA: Q1 2026)
- AI anomaly detection prototype in development
- 87% of Q2 backlog resolved

Paragraph 3: Customer & Market Insights

Customer sentiment showed mixed signals in Q3. While the company onboarded three new enterprise clients in the BFSI and logistics sectors, the Net Promoter Score (NPS) dropped from 42 to 36. The churn rate increased to 5.8%, largely due to onboarding delays and slower-than-expected support response times.

To address these concerns, the Customer Success team launched a pilot program for dedicated onboarding pods and revised SLAs for high-value clients. Two customer advisory board sessions were conducted to gather feedback on roadmap priorities, which will inform the Q4 product planning cycle.

Customer Metrics:

- NPS: 36 (↓ from 42)
- Churn Rate: 5.8% (↑ from 4.9%)
- New Enterprise Clients: 3 (BFSI & Logistics)
- Customer Advisory Boards: 2 sessions held

Paragraph 4: Strategic Initiatives

NovaTech launched “Project Horizon,” a cross-functional initiative to evaluate expansion into Southeast Asia. Market research and regulatory assessments are underway in Singapore, Malaysia, and Indonesia. The company also partnered with CloudAxis to co-develop go-to-market campaigns targeting mid-sized enterprises in the APAC region.

Internally, the Legal and Compliance teams began a full audit of vendor contracts, data residency policies, and third-party risk exposure. This initiative is expected to conclude by Q4 and will inform the company’s 2026 compliance roadmap.

Strategic Moves:

- Project Horizon launched (Southeast Asia expansion)

- CloudAxis partnership for APAC GTM
- Vendor contract audit initiated
- Data compliance review in progress

Paragraph 5: Risks & Mitigations

The leadership team identified three key risks this quarter:

1. ****Onboarding Delays****

- ***Risk***: Increased churn and lower NPS
- ***Mitigation***: Dedicated onboarding pods, revised SLAs, and automated welcome workflows

2. ****Rising Infrastructure Costs****

- ***Risk***: Margin compression
- ***Mitigation***: Migration to reserved cloud instances, usage caps, and cost monitoring dashboards

3. ****Regulatory Uncertainty in Data Residency****

- ***Risk***: Non-compliance in new markets
- ***Mitigation***: Legal review, regional data centers, and updated privacy policies

Paragraph 6: Outlook for Q4 2025

Looking ahead, NovaTech will focus on:

- Completing the legacy client migration to NovaEdge v2.3
- Launching the beta version of the anomaly detection engine
- Finalizing the Southeast Asia market entry strategy
- Improving customer onboarding and support SLAs
- Publishing the 2026 product roadmap

The company remains committed to sustainable growth, operational excellence, and customer-centric innovation.

End of Report